

At the end of the pattern (point C), price retraces upward, forming a sort of hook (point D; think of a soup ladle upside-down). The breakout occurs in this scallop when price closes below the lowest low in the pattern. After the breakout, price continues down.

Scallop identification is not difficult, but what should you look for?



Figure 60.1 A descending and inverted scallop appears as an upside-down J.

Identification Guidelines

Table 60.1 shows identification guidelines for the scallop pattern.

Appearance. The pattern resembles an inverted J with the pattern start (point A) higher in price than the end (point C). Half the patterns are about a month wide; I know you've been wondering about that.

Price trend. Look for a downward price trend leading to the scallop. Occasionally, but rarely, you will find scallops dangling at the end of a